

September 23, 2025
Ms. Vanessa A. Countryman
Secretary
Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

Re: Trade-Through Prohibitions Roundtable (File No. 4-862)

Dear Ms. Countryman,

Jane Street Capital, LLC ("Jane Street") appreciates the opportunity to provide comments on the Commission's September 18, 2025 roundtable on trade-through prohibitions in National Market System (NMS) stocks and listed options. We commend Chairman Atkins and the Commission for undertaking this important review of market structure rules that have shaped equity trading for nearly two decades.

Today, U.S. equity markets are the global standard for efficiency and fairness, and investors across all market segments benefit from deep liquidity, rapid execution, and robust price discovery. Both retail and institutional investors experience strong execution quality and benefit from competitive liquidity provision. In recent years, equity markets have proved resilient and competitive through periods of volatility, structural evolution, and technological adaptation. As the Commission contemplates regulatory modifications to aspects of current market structure, it is important to protect the qualities that make U.S. markets appealing to investors worldwide.

Jane Street is a global market maker and trading firm that is active across equities, options, bonds, currencies, commodities, and futures. We make markets continuously on more than 200 trading venues in over 40 countries around the world. In the U.S., we provide equities and options liquidity as an on exchange market maker, institutional liquidity provider, and as a wholesale market maker handling retail order flow. Our experience trading in these markets informs our perspective on the practical effects of different regulatory frameworks.

Since our founding in 2000, Jane Street has experienced the implementation of Rule 611, including its impact on order execution processes, and its increasing misalignment with modern electronic markets. As markets continue to evolve, we also recognize industry and regulatory interest in establishing regulatory structures for digital asset versions of equities that co-exist with broader equity markets. Our comment letter reflects our practical perspective and ongoing commitment to a market structure that adapts to technological advancements while preserving investor protection.

Executive summary

While Jane Street is open to rescinding Rule 611, we think it is also important for regulators to concurrently provide clearly defined best execution standards to enhance investor protections.

We suggest the Commission consider:

- Rescinding trade-through prohibitions as automated electronic markets have evolved beyond the need for this prescriptive routing requirement in equities markets
- Enhancing best execution standards with explicit guidance to maintain and strengthen investor protections
- Reforming SIP revenue allocations to help address the economic incentives driving venue proliferation
- Maintaining regulatory consistency between traditional and tokenized equity securities to preserve market integrity

Rescinding trade-through prohibitions in equities markets

Regulation NMS was adopted in 2005 as markets transitioned from floor-based, manual trading to increasingly electronic execution. Alongside more principles-based best execution obligations set forth by FINRA's Rule 5310 and common law, Rule 611 prevented exchanges and market participants from ignoring better-priced quotes on competing venues. In effect, this also created a price-based minimum threshold for best execution. This helped spur investment in interlinkages between venues as routing technology was developing, and best execution practices were less sophisticated. During this period of rapid technological and structural change, Rule 611 served almost as "training wheels" for the national market system, providing clear, objective standards for order routing processes.

Modern automated electronic markets have now evolved beyond the baseline requirements of Rule 611. Intense competition amongst liquidity providers promotes increasingly enhanced execution standards. In U.S. equity markets, participants now routinely provide price improvement relative to the national best bid and offer, execute orders at midpoint prices, and provide execution results that surpass any minimum benefits of Rule 611.

While arguably Rule 611 served a historical function, its continuation imposes negative externalities on market participants. The rule compels connectivity to every protected venue regardless of its market share, liquidity contribution, or relevance to an execution strategy. This contributes to a regulatory subsidy for venue proliferation, as new exchanges can effectively mandate that certain market participants purchase their connectivity and market data services.

Further, the requirement to route to protected quotes creates operational complexity. This is impactful for larger-sized equities orders where sweep requirements may result in executions across multiple venues with varying fee structures and latencies, potentially leading to worse overall execution quality than alternative approaches.

Enhancing best execution

Alongside reform to Rule 611, Jane Street supports clarifying best execution standards to ensure continued robust investor protection. Current best execution standards from FINRA rely heavily on the NBBO framework established by Regulation NMS. Without Rule 611, market participants would benefit from clearer guidance on how to evaluate execution quality in the absence of protected quotes, transparency requirements for routing decisions and venue selection, and standards for demonstrating best execution compliance.

Rather than relying on prescriptive routing rules, enhanced best execution standards would maintain market discipline through outcome-based evaluation. A principles-based approach would focus on actual execution quality rather than procedural compliance, allow flexibility for execution method innovation while maintaining accountability, and set clear expectations that market participants will seek the best reasonably available terms for their customers.

SIP revenue allocation reform

Alongside rescinding Rule 611, the Commission may additionally consider reforms to address the economic incentives underpinning venue proliferation. The current SIP revenue allocation formula in equities rewards venues for generating quotes regardless of execution quality or liquidity contribution. To encourage venues to compete on innovative protocols or otherwise market-valued initiatives, the SEC could eliminate the inherent subsidies in the revenue allocation formula. Reforms could include the elimination of quote-based revenue, or a regular review of allocation formulas to promote beneficial competition.

Regulatory consistency and market integrity

We support emerging technologies and fair access to markets, and so we are actively following developments in tokenized securities, particularly tokenized equities. As liquidity providers, our role is to meet demands for liquidity, and we would likely support the development of fair and efficient tokenized markets if and when they mature to the point of requiring significant liquidity. We recognize also that industry developments are still relatively early, and applications for tokenization vary across asset classes and may require regulatory nuance. We are also open minded to the possibility that a newly tailored regulatory structure may be needed to support primary markets in crypto assets that are deemed securities.

We suggest the Commission carefully evaluate the appropriateness of applying different regulatory frameworks to tokenized versus existing equity securities. We caution that creating diverging rulesets for securities intended to be economically equivalent except for their technological or settlement format, could lead to regulatory arbitrage and liquidity fragmentation that degrades investor confidence in the overall U.S. equities market. For example, applying a different rule set to a tokenized version of an existing public equity (where the digital asset 'wrapper' is the only modification to the economic exposure) may impact secondary market investor protections. Tokenized equities should benefit from the investor protections and best execution standards that apply to existing equities, otherwise investors, particularly retail investors, may unknowingly receive inferior execution. Market integrity requires that both existing and tokenized equities receive similar protections regardless of their technological format. We encourage the Commission to keep these considerations in mind as they begin to map out the regulatory landscape for tokenized securities.

Conclusion

Jane Street appreciates the Commission's leadership in reviewing these important market structure issues, and its engagement with the industry on reforms to trade-through prohibitions, any additional clarifications to best execution, and the development of regulatory frameworks for tokenized equities or other digital asset securities.

We look forward to continued industry dialogue on regulatory modifications that support both market efficiency and investor protection. We are happy to engage further on these or other market structure topics.

Sincerely,

/s/ Raz Tirosh and Calvin Hayes

cc:

The Honorable Paul S. Atkins, Chairman
The Honorable Hester M. Peirce, Commissioner
The Honorable Mark T. Uyeda, Commissioner
The Honorable Caroline A. Crenshaw, Commissioner
Jamie Selway, Director, Division of Trading and Markets